



Defence Electronics Manufacturers Association (DEMA), an SME grouping, there are about 150 major SMEs, located around Pune, Bangalore and Hyderabad, with a combined annual turnover of Rs 1,500 crore. Most were sub-contractors to defence PSUs, shipyards and the Ordnance Factory Board. They will participate in the four-

◀ **M KUMAR UDYOG** CHAIRMAN **G.K. GUPTA** (RIGHT) AND CEO **ANURAG GUPTA**

The Kanpur-based armouring firm exports to 40 countries and has a turnover of Rs 200 crore, to be ramped up 10 times by 2013.

"The Government must change its policy of giving defence contracts to the lowest bidder and encourage SMEs."

ANURAG GUPTA

day DefenceExpo—starting February 16 in Delhi—which is India's largest exhibition of land and naval systems.

"No industrial sector can excel if its SMEs are not strong. The Indian automotive sector would not have been what it is, but for its small and medium players," says Director-General of Confederation of Indian Industry Lt-

General (retired) S.S. Mehta. Another example of a small company making it big in the sector is Rosoboronservice. When the Indian Navy needs spares for its Russian-built warships or equipment, it usually dials this joint-venture firm set up by Commander (retired) V.G. Jayaprakasan 13 years ago—when sourcing parts and equipment from Russia was becoming difficult—with the Russian government, which owns a 75 per cent stake in it. The naval engineer who also launched Krasny Marine to service warships, says, "Being self-reliant in servicing sensitive defence equipment is as important as producing the equipment." Today, Krasny Marine refits Coast Guard and naval vessels, while Rosoboronservice is the largest provider of defence spares, expertise and infrastructure in the country. This year, it will begin servicing Russian equipment with the army and the Indian Air Force (IAF) in a deal that could catapult its turnover five times to over Rs 500 crore.

SMEs are also indispensable for R&D. Dass Hitachi, a medium-scale engineering company located just off Delhi's Grand Trunk Road, is engaged

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